An Ancestor’s Investment: Britain, the VOC, and the Price of Profit

Christian Dow — alternate-history research scenario

> **Scenario notice:** This is an informal alternate-history exercise, not a completed historical investment study. British purchase prices, sale prices, and dividends below are invented modeling assumptions. Dutch financial inputs use annual-average data as execution-price proxies and assume nominal-capital dividend conventions; they do not establish January or year-end market quotes. Historical context is drawn from the linked sources. The investment recommendation applies only to this model.

The decision

For an ancestor investing in January 1725 and selling between 1745 and 1750, this scenario recommends the British East India Company and an exit in 1750. The reason is total wealth received, including dividends, rather than the company’s eventual imperial reputation. The financial and ethical recommendations differ: an investor who refuses to profit from slavery and coercive colonial power should decline both companies. If the ancestor must choose one, the evidence does not establish an ethically clean winner.

The comparison treats dividends as cash held without interest. It ignores commissions, taxes, inflation, and exchange-rate changes, assumes proportional holdings can be purchased, and compares percentage returns on equal initial investments. These conventions make the arithmetic transparent, while leaving real-world trading complications outside the model.

Different companies, related privileges

Both enterprises joined commercial investment to political privilege, but their organization and trading networks differed. The VOC combined six Dutch chambers under the coordinating Heeren XVII, with Batavia as its Asian administrative center. Its spice commerce connected European markets to Asian production and shipping. A contemporary Amsterdam newspaper offers a concrete example: the Ridderkerk returned in January 1730 with pepper, sapanwood, green tea, and bohea tea, for the Amsterdam chamber’s account. This documents a varied cargo, not its profitability [P06].

The British company’s settlements likewise exercised public authority alongside commerce. George I’s 1726 charter provided municipal and judicial institutions at Madras, Bombay, and Calcutta. Its opening praise of a “strict and equal Distribution of

Justice” describes the official justification for these arrangements, not proof that colonial subjects experienced equality [P03, pp. 230–248]. Neither company was simply a modern retailer purchasing freely offered goods.

The EIC also participated in British public finance. An anonymous director’s shareholder pamphlet discusses government annuities and advances totaling £4.2 million, distinguishing £3.2 million previously advanced from £1 million “now to be advanced.” That distinction matters: the passage is evidence of proposed financial arrangements and political bargaining, not proof that the whole sum was already paid, nor a statement of shareholder dividends [P04, pp. 11–12].

Fortunes within the investment window

Political developments created risks rather than guaranteed stock-market outcomes. Søren Mentz describes the French capture of Madras in September 1746 and the settlement’s return under the Treaty of Aix-la-Chapelle in 1748. His analysis emphasizes conflicting interests among Company servants, private merchants, directors, and shareholders. A successful private merchant did not necessarily enrich every shareholder, while military recovery did not automatically establish the best selling day [S05, pp. 37–39, 48–50].

The Dutch annual series shows a substantial decline followed by recovery. Its Amsterdam VOC price variable averages 642.58 in 1725, 449.23 in 1745, 404.29 in 1747, and 557.39 in 1750. Thus the final observed annual average remains below the starting average, despite the late recovery [D01]. This pattern challenges the idea that a famous, durable trading enterprise necessarily offered capital appreciation to someone buying at an expensive starting valuation.

Dividends complicate that picture. Klerk de Reus’s retrospective compilation includes a dividend schedule with resolution and payment information, pointing toward the underlying documentary work needed to establish actual entitlements [S04, appendix VI]. Annual dataset entries alone cannot settle whether an investor buying on a particular January day received that year’s payment.

Comparing the modeled returns

VOC quotations must not be confused with dividend yields. Petram explains that traders quoted prices as percentages of nominal capital, with no universal denomination for one share. A payment of twenty percent of nominal capital is therefore not a twenty-percent yield for someone paying several times nominal value [S03, p. 19 and glossary].

The model uses 100 units of nominal capital for each holding. For Britain, the opening purchase costs 150 units, annual dividends are eight units in each year from 1726 through 1750, and sale proceeds are 200 units in 1750. Total dividends are therefore 200 units. Terminal wealth is 400 units, giving a profit of 250 on the initial 150: a **166.7% cumulative return**.

For the VOC, the opening proxy is 642.58 and the 1750 sale proxy is 557.39. Summing the dataset's dividend-rate entries for 1726–1750 and applying them to 100 nominal units gives 490 units. Terminal wealth is consequently 1,047.39, a profit of approximately 404.81, or **63.0%**. Dividends turn the price decline into a positive cumulative result. The dataset's separate "Dividendspayable" balance-sheet field is not used as the investor's dividend [D01].

The sale-window comparison includes the same dividend convention at every exit:

Exit year	British return	VOC proxy return
1745	120.0%	29.0%
1746	118.7%	27.6%
1747	127.3%	28.3%
1748	142.7%	34.1%
1749	154.7%	44.5%
1750	166.7%	63.0%

The British sale-price path is 170, 160, 165, 180, 190, and 200 across these six modeled exits. Accordingly, 1750 maximizes terminal wealth among the six choices. It is not a demonstrated daily historical optimum. Golez and Koudijs explain why proper historical returns require capital-event adjustments and consistent currencies; Beach and colleagues additionally document ex-dividend and spot-versus-forward quotation problems [S01, appendix pp. 2–7; S02, pp. 69–77].

Whether ethical profit changes the choice

The ethical comparison cannot be reduced to financial performance. The 1739 Dutch descriptive history reports Banda land cultivated by enslaved people and nutmeg and mace delivered to company officials. Although this is a contemporary compilation rather than an audited plantation account, it connects coercive labor to the company's commercial system [P01, p. 472].

Batavia’s 1740 amnesty and a subsequent directors’ letter, reproduced in the Plakaatboek, expose official responses to violence against Chinese people. The 1742 letter criticizes particular summary executions as closer to murder than justice. It should not be expanded into a blanket claim that the directors opposed every aspect of colonial violence [P02, pp. 510–514].

Britain is not an innocent alternative. St Helena records include a 1725 restriction requiring a person freed from slavery to leave the island. A 1739 entry describes the escape of nine Company-owned enslaved people brought from Bombay, including women and children [P05, pp. 169, 182]. Their experience defeats an argument that the EIC’s commercial identity separated its investors from slavery.

Under a rule excluding profit from slavery and colonial coercion, neither investment qualifies. Under a weaker “less harmful company” rule, these examples establish serious problems but not a reliable ranking of total harms. The ancestor should not mistake unequal documentation for proof of unequal responsibility.

Conclusion

Within this model, buy British stock in 1725 and sell in 1750 after the final included dividend. Its higher terminal wealth, rather than later conquests, supplies the financial reason. Ethical exclusion changes the recommendation to neither company. A historical investment verdict would require replacing the British assumptions, checking actual Dutch quotations and dividend entitlements, and reconsidering the recommendation if those records change the result.

Word count: 1103 (body, including section headings and table; excludes title, scenario notice, this line, and bibliography).

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